

24STCV27743 24STCV27743

County: los-angeles

Division: Civil Law and Motion

Department: 507

Hearing date: 2026-08-13

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Case Number: 24STCV27743 Hearing Date: August 13, 2026 Dept: 507

TENTATIVE

RULING:

Defendant's Motion for Leave to File a Cross-Complaint is
GRANTED.

Moving party to give notice, unless waived.

DISCUSSION:

Motion

for Leave to File a Cross-Complaint

Legal

Standard

"Except as otherwise provided by statute, if a party against whom a complaint has been filed and served fails to allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff, such party may not thereafter in any other action assert against the plaintiff the related cause of action not pleaded." (Code Civ. Proc., § 426.30, subd. (a).) "Related cause of action" means a cause of action which arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint. (Code Civ. Proc., § 426.10, subd. (c).)

A party shall obtain leave of court to file any untimely cross-complaint and leave may be granted in the interest of justice at any time

during the course of the action. (Code Civ. Proc., § 428.50, subd. (c).) “A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action. The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave to amend the pleading, or to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action.” (Code Civ. Proc., § 426.50.)

Compulsory Cross-Complaint

Defendants

contend the cross-complaint is compulsory because every cause of action in the proposed cross-complaint arises from the identical contract, the identical project, and the identical course of dealing. The claims share every operative fact.

A

cross-complaint is compulsory if it is from a “related cause of action,” which means that the cause of action arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint. (Code Civ. Proc., § 426.10, subd. (c).) Because of the liberal construction given to the statute to accomplish its purpose of avoiding a multiplicity of actions, “transaction” is construed broadly; it is “not confined to a single, isolated act or occurrence ... but may embrace a series of acts or occurrences logically interrelated.” (Align Technology, Inc. v. Tran (2009) 179 Cal.App.4th 949, 960.) The related cause of action must be one that was in existence at the time of service of the answer. (Ibid.) The relatedness standard “requires ‘not an absolute identity of factual backgrounds for the two claims, but only a logical relationship between them.’ (Ibid.) At the heart of the approach is the question of duplication of time and effort; i.e., are any factual or legal issues relevant to both claims? (Ibid.)

The Court

finds that the proposed cross-complaint is compulsory. Here, the facts and legal issues are logically related, as they involve the same parties, the same Property project, the same original April 2018 contract, and the same amendment

to that contract to allow for payment at completion. (See Compl., ¶¶ 3-4, 7.; see Ex. 2, Proposed Cross-Compl., ¶¶ 1-5.) The proposed cross-complaint alleges causes of action for (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) fraud and intentional misrepresentation; (4) unjust enrichment; and (5) declaratory relief. (See Ex. 2, Proposed Cross-Compl.) As both the Complaint and the proposed cross-complaint discuss the same transactions or occurrences that occurred around 2018 to 2022, the related causes of action existed at the time of service of the answer. Thus, the Court finds that the legal and factual situations are logically interrelated and arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which Plaintiff alleges in the Complaint. (Code Civ. Proc., § 426.10, subd. (c).)

Accordingly,
the Court finds the proposed cross-complaint to be compulsory.

Bad Faith and Prejudice

Defendants argue that Defendants acted in good faith and that Plaintiff will suffer no prejudice. Defendants contend that their former counsel did not file a cross-complaint before their representation ended, and once it did, Defendants prepared the proposed pleading, met and conferred with Plaintiff's counsel and offered Plaintiff's counsel the opportunity to stipulate to the cross-complaint. When Plaintiff never responded to the proposed cross-complaint, Defendants filed this motion. Also, trial is set for February 2, 2027, approximately 7 months from the hearing on this motion and the cross-complaint rests on the same documents, witnesses, and transaction at issue, so Plaintiff will suffer no prejudice.

A motion to file a cross-complaint at any time during the course of the action must be granted unless bad faith of the moving party is demonstrated where forfeiture would otherwise result. (*Silver Organizations Ltd. v. Frank* (1990) 217 Cal.App.3d 94, 99.) Factors such as oversight, inadvertence, neglect, mistake or other cause, are insufficient grounds to deny the motion unless accompanied by bad faith. (*Ibid.*) Substantial evidence or a strong showing of bad faith must be made in order to support a denial of the right to file a cross-complaint. (*Ibid.*; *Foot's Transfer & Storage Co. v. Superior Court* (1980) 114 Cal.App.3d 897, 902.) Even where the motion "is made on the eve of trial," a trial court errs in denying the motion if there is "no substantial evidence to support a finding that

[defendants] were acting in bad faith.” (County of Los Angeles v. Quinn Emanuel Urquhart & Sullivan, LLP (2025) 115 Cal.App.5th 489, 509.)

The Court finds that no substantial evidence or strong showing of bad faith has been shown justifying the Court to deny this motion. Plaintiff has not opposed this motion or argued that Defendants acted in bad faith. Instead, Defendants have demonstrated that they prepared the proposed cross-complaint after Defendants substituted into the action in pro per, that they met and conferred with Plaintiff’s counsel, and asked Plaintiff’s counsel if they would be willing to stipulate to the cross-complaint. (Lee Decl., ¶¶ 3-6.) Nor is the making of this motion approximately 7 months before the trial date evidence of bad faith or so prejudicial to Plaintiff to overcome the strong policy in favor of granting leave for compulsory cross-complaints. (See County of Los Angeles, supra, 115 Cal.App.5th at p. 509.)

Accordingly, Defendant’s Motion for Leave to File a Cross-Complaint is GRANTED.

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.